Canada: A Secure Living After Wages

One-page policy brief | 12 October 2026 | All amounts in Canadian dollars

Action: Prepare income support that does not depend on work. Start payment tests, tax reform, and essential service projects together. Provide urgent relief when people need it. They should not have to prove that AI caused their income loss.

First programme: costs and funding

Annual cost from 2028-29: $21 billion before interest and the new GST rebate. This includes $12 billion for income support, $3 billion for extra needs and services, $1 billion for administration, and $5 billion for essential projects.

The estimate assumes one million adults receive an average $12,000 a year. This is a budget assumption, not a limit on eligible people. Payments are assumed tax-free and do not reduce existing benefits. Laws and agreements must protect these terms.

Proposed annual funding: Add 20% to existing federal corporate income-tax bills, including small-business bills: a $100 bill would rise by $20. Raise the federal GST from 5% to 6%. The central estimate gives $16.2 billion from the corporate change and $9.5 billion from the GST change. Subtract a new $3 billion rebate for low-income people. This leaves **$22.7 billion**, with about **$1.7 billion before interest** above planned spending.

These receipts assume reductions of 20% and 10%, respectively, from simple tax calculations. They are not official estimates. Lower receipts could leave only $17.6 billion. The rebate needs a household impact check. No pension assets or future public-fund returns are counted as funding.

Order of action

1. **By March 2027:** Finance Canada leads official costing. Federal, provincial, territorial, local, and Indigenous partners define eligibility, protect other benefits, and identify service gaps.
2. **2027-28:** Seek approval for taxes and spending. Test enrolment, appeals, offline access, and payment backups. Start essential projects. Budget **$8 billion before interest**, including **$2 billion for initial setup**. Establish a separate **$12 billion cash reserve**. With half-year receipts and rebates, estimated borrowing is **$8.83 billion** at a 2% real interest rate. The reserve is held cash, not annual spending.
3. **2028-29:** Start the limited payments and added services. Check receipts, costs, and payment failures each quarter.
4. **2029-30 to 2031-32:** Review each year. Expand with a funded cost and supply plan. Restore any used reserve.

At any time: Provide emergency relief based on need. Extra emergency spending is outside this budget and needs separate funding.

If wages fail across the economy

An **additional tax-free $24,000 for every adult** costs **$819.8 billion a year** in cash alone, with existing benefits retained. The central case needs **$1.10 trillion in new annual revenue** after added costs and lost federal receipts. This keeps the existing deficit; it does not balance the budget.

That case assumes 80% of federal personal income tax and all Employment Insurance premiums are lost. It excludes provincial tax losses and some other costs. The first tax package cannot fund it. Governments need a wider plan to tax income and wealth beyond wages, with essential supply and collection checks.

Basis and limits: Canada analysis, sources, and calculations. Figures use a fixed 2026 benchmark. This is an AI-assisted policy proposal, not an official budget or an AI forecast. Official costing and household, legal, and delivery checks are required before adoption.